ELIZABETH II

1970 CHAPTER xxx

An Act to confer further powers on the mayor, aldermen and citizens of the city and county of the city of Southampton with regard to finance; to make further provision for the investment of moneys forming part of the superannuation fund maintained by them; and for other purposes. [29th May 1970]

WHEREAS—

(1) The city and county of the city of Southampton (hereinafter referred to as " the city ") is a county borough under the government of the mayor, aldermen and citizens of the city (in this Act called " the Corporation "):

(2) It is expedient to make further and better provision with respect to the finances of the Corporation and with respect to the investment of moneys forming part of the superannuation fund maintained by the Corporation:

(3) It is expedient that the other provisions contained in this Act be enacted:

(4) The purposes of this Act cannot be effected without the authority of Parliament:

1933 c. 51. (5) In relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 have been observed:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title. **1.** This Act may be cited as the Southampton Corporation Act 1970.

Interpretation. **2.**—(1) In this Act, unless the subject or context otherwise requires—

"the Act of 1933" means the Local Government Act 1933;

1960 c. xlii. "the Act of 1960" means the Southampton Corporation Act 1960;

"the city" means the city and county of the city of Southampton;

"the Corporation" means the mayor, aldermen and citizens of the city;

"the council" means the council of the city;

"enactment" includes an enactment in this Act or in any general or local Act, and any order, byelaw, scheme or regulation for the time being in force within the city;

"financial year" means a period of twelve months ending on the 31st March;

"revenues" and "sanctioning authority" have the same respective meanings as in section 218 of the Act of 1933;

"signature" includes a facsimile of a signature by whatever process reproduced.

(2) Except where the context otherwise requires, any reference in this Act to any enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by, or by virtue of, any subsequent enactment, including this Act.

Power to raise money by bills.

3. In addition to the modes of borrowing prescribed by the Act of 1933, the Corporation may raise money—

(1) for any purpose for which the Corporation are authorised to borrow;

(2) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Corporation may properly be applied;

by means of bills (to be called " Southampton Corporation bills ", in this section referred to collectively as " bills " and separately as " a bill ") subject to, and in accordance with, the following provisions:—

(*a*) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:

(*b*) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:

(*c*) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Corporation may determine:

(*d*) Bills shall be issued under the authority of a resolution passed by the council, and shall bear the signature of the treasurer of the city or of some other person authorised by the Corporation:

(*e*) The Corporation may make regulations providing for—

(i) the preparation, form, mode of issue, payment and cancellation of bills;

(ii) the issue of new bills in lieu of bills defaced, lost or destroyed;

(iii) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills; and

(iv) the giving of a proper discharge on the payment of a bill:

(*f*) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:

(*g*) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—

(i) the sum of one million, five hundred thousand pounds; or

(ii) one-fifth of the amount estimated to be produced by the levying of rates in the city during the then current financial year to meet liabilities falling to be discharged by the Corporation;

whichever is the greater:

(*h*) Subject to the provisions of the last preceding paragraph, the Corporation may renew a bill at maturity:

(*i*) The Corporation may borrow for the purpose of repaying the principal money raised by bills but except as aforesaid any power of the Corporation to borrow shall be suspended to the extent of the amount which has been raised by the issue of bills.

Power to raise money by bearer bonds.

4. In addition to any other method by which the Corporation may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer.

Power to raise money abroad.

5.—(1) Any method by which the Corporation are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in such enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency.

(2) The powers conferred by the foregoing subsection shall not be exercised except with the consent of the Treasury, and subject to such conditions as the Treasury may impose.

(3) The enactments empowering the Corporation to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if for any reference in those enactments to sterling there was substituted a reference to the foreign currency and for any reference therein to a sum expressed in terms of sterling there was substituted a reference to the sum expressed in terms of the foreign currency (adjusted where necessary, to produce an amount which the Corporation consider appropriate having regard to all the circumstances of the transaction).

6. Section 77 (Investment of superannuation fund) of the Act of 1960 shall be amended in accordance with the following provisions of this section and shall accordingly have effect as set out in the Schedule to this Act:— Investment of superannuation fund.

(1) For paragraph (*a*) of subsection (1) there shall be substituted the following:—

"(*a*) in or upon any investments for the time being authorised by law for the investment of trust funds; or":

(2) For paragraphs (*e*), (*f*) and (*g*) of subsection (1) there shall be substituted the following:—

"(*e*) in or upon any of the stocks, funds or securities of the government of any foreign country or state; or

(*f*) in or upon the bonds, debentures, debenture stock, convertible debenture stock, obligations or securities of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world; or

(*g*) in or upon any guaranteed, preference or ordinary stock or shares or any preferred or deferred or other stock or shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world, being stock or shares which at the time of making the investment are quoted on any recognised stock exchange or similar institution or are quoted on any recognised security market; or

(*h*) in the purchase, whether alone or jointly or in common with any other person, of immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement; or

(*i*) in the advance of money upon the security of—

(i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands; or

(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (*h*) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Corporation, or by a mortgage or security made jointly to the Corporation and any other person; or

(*j*) in undertaking or financing whether alone or jointly with any other person—

(i) the erection of a new building or the improvement or extension of an existing building; or

(ii) building operations or other development;

on land belonging to the Corporation or to any other person or on land which is, or will be, held jointly by the Corporation and any other person; or

(*k*) upon the security of freehold or leasehold ground rents, land charges or rentcharges ":

(3) In the proviso to subsection (1)—

(*a*) for the words " paragraph (*e*) " in both places where they occur there shall be substituted the words " paragraph (*g*) ";

(*b*) for the words " following qualifications " there shall be substituted the words " qualification that ";

(*c*) paragraphs (i) and (iii) shall be omitted; and

(*d*) in paragraph (ii) for the word " one-half " there shall be substituted the word " three-quarters ":

(4) For subsection (3) there shall be substituted the following:—

" (3) In this section—

' recognised stock exchange ' in its application to the United Kingdom means any body of persons which is for the time being a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1958 or the Belfast Stock Exchange;

1958 c. 45.

' recognised security market ' in its application to stock or shares not registered in the United Kingdom means a stock exchange, an association of stock and share dealers or an over-the-counter market recognised as a market or association in which dealings in the country concerned normally take place;

'quoted on a recognised security market' in its application to stock or shares not registered in the United Kingdom means that the stock or share has been granted an official quotation or is listed on a recognised security market or that dealing prices on such a market in respect of that stock or share are published not less frequently than once a week;

'securities' include shares, debentures, treasury bills and tax reserve certificates ".

Modification of Trustee Investments Act 1961. 1961 c. 62. 1937 c. 68.

7. Sub-paragraph (*b*) of paragraph (3) of Part IV of Schedule 1 to the Trustee Investments Act 1961 shall not apply to the investment by the Corporation of any property belonging to the wider-range part of the superannuation fund maintained by the Corporation under the Local Government Superannuation Act 1937.

Power to Corporation to lend money to local authorities, etc.

8.—(1) The Corporation may lend to any local authority, upon such terms and conditions as may be agreed, such money as the Corporation think fit to lend and as the local authority are authorised to borrow for the purpose for which such money is proposed to be borrowed:

Provided that the powers of this subsection shall not be exercised unless—

(*a*) the local authority borrowing from the Corporation is either—

(i) an authority of which the Corporation is a constituent member; or

(ii) an authority to which the council appoint a representative; or

(iii) a member authority of a consortium of which the Corporation is also a member; or

(*b*) the sum lent by the Corporation is part of a larger sum borrowed by the Corporation by way of a stock issue, mortgage loan, bond issue, foreign loan or issue of bills for their own needs and for the needs of another local authority seeking to raise money by the same means.

(2) Any sum borrowed by the Corporation for the purpose of this section shall be repaid within a period to expire not more than one year after that for which the same was lent by them to the local authority.

(3) Where any sum is borrowed by the Corporation for the purposes of this section it shall be lawful for the Corporation for

such periods as they may think fit to suspend any annual provision required to be made by virtue of any enactment for the time being in force for the repayment of the sum borrowed.

(4) The Corporation shall be entitled to charge such rate of interest in respect of any particular loan under this section as may be agreed between the Corporation and the borrower:

Provided that the Corporation shall ensure so far as it is reasonably practicable to do so that having regard to all the circumstances existing at the time the loan is made the rate of interest agreed is such that no loss is incurred by the Corporation in respect of the loan.

(5) In this section " local authority " means the council of a county, county borough or county district and any other authority being a local authority as defined by section 34 of the Local Loans Act 1875, and includes any joint board if all the constituent authorities are such local authorities as aforesaid.

1875 c. 83.

Powers of Act to be cumulative.

9. All powers and duties conferred or imposed by this Act or by the Act of 1960 shall be deemed to be in addition to and not in derogation of any other powers and duties conferred or imposed by any enactment, law or custom, and subject to any express provision of this Act or the Act of 1960 all such other powers and duties may be exercised and shall be performed in the same manner as if this Act and the Act of 1960 had not been passed.

Power to borrow.

10.—(1) The Corporation may borrow without the consent of any sanctioning authority—

(*a*) such sums as may be necessary for the payment of the costs, charges and expenses of this Act;

(*b*) such sums as may be requisite for the purpose of lending to a local authority under section 8 (Power to Corporation to lend money to local authorities, etc.) of this Act.

(2) The Corporation shall pay off all moneys borrowed under paragraph (*a*) of the foregoing subsection within such period as the Corporation may determine not exceeding five years from the passing of this Act.

(3) The provisions of Part IX of the Act of 1933 so far as they are not inconsistent with this Act shall extend and apply to money borrowed under this section as if it were borrowed under the said Part IX and the period fixed under this section or under subsection (2) of the said section 8 for the repayment of any money borrowed under subsection (1) of this section shall as respects that money be the fixed period for the purpose of the said Part IX.

Saving for powers of Treasury.

11.—(1) It shall not be lawful to exercise the powers of borrowing conferred by the provisions of this Act (except those powers conferred by paragraph (*a*) of subsection (1) of section 10 (Power to borrow) of this Act) except in compliance with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act 1946. 1946 c. 58.

(2) Nothing in this Act shall be taken as exempting the Corporation from the provisions of the Exchange Control Act 1947. 1947 c. 14.

Costs of Act.

12. The costs, charges and expenses preliminary to, and of and incidental to, the preparing, applying for, obtaining and passing of this Act shall be paid by the Corporation.

Section 6.

SCHEDULE

Section 77 (Investment of superannuation fund) of the Act of 1960 as amended

1937 c. 68.

77.—(1) In its application to the Corporation subsection (3) of section 21 of the Local Government Superannuation Act 1937 shall have effect as if for the obligation to invest as mentioned in that subsection moneys forming part of but not for the time being required to meet payments to be made out of the superannuation fund maintained by the Corporation under that Act there were substituted an obligation to invest such moneys as follows (namely):—

(*a*) in or upon any investments for the time being authorised by law for the investment of trust funds; or

(*b*) in or upon any of the stocks, funds or securities of any dominion, commonwealth, union, dependency or colony forming part of the British Commonwealth of Nations or any province or state having a separate local legislature and forming part of any such dominion, commonwealth, union, dependency or colony; or

(*c*) in or upon any of the stocks, bonds, mortgages or securities of any municipality or county or district council or local or public authority or board in the United Kingdom or in any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid authorised under any general or special Act of the United Kingdom Parliament or of the legislature concerned to issue the same; or

(*d*) in or upon any stocks, shares, bonds, mortgages or securities the capital whereof or a minimum rate of dividend or interest whereon is guaranteed by the United Kingdom Government or by the government of any such dominion, commonwealth, union, dependency, colony, province or state as aforesaid; or

(*e*) in or upon any of the stocks, funds or securities of the government of any foreign country or state; or

(*f*) in or upon the bonds, debentures, debenture stock, convertible debenture stock, obligations or securities of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world; or

(*g*) in or upon any guaranteed, preference or ordinary stock or shares or any preferred or deferred or other stock or shares of any company incorporated under any general or special Act of the United Kingdom Parliament or under any royal charter or registered or incorporated in any part of the world, being stock or shares which at the time of making the investment are quoted on any recognised stock exchange or similar institution or are quoted on any recognised security market; or

(*h*) in the purchase, whether alone or jointly or in common with any other person, of immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands, or of any share or interest in such immovable property, including any interest in such immovable property comprised in a building agreement providing for the grant of a lease of such property contingent on the erection or completion of the building specified in such agreement; or **Sch.** *—cont.*

(*i*) in the advance of money upon the security of—

(i) immovable property of any tenure or kind in the United Kingdom, the Isle of Man or the Channel Islands; or

(ii) any legal estate or interest in immovable property comprised in a building agreement as specified in paragraph (*h*) of this subsection;

and in any such case whether the security be taken by a separate and distinct mortgage or security made exclusively to the Corporation, or by a mortgage or security made jointly to the Corporation and any other person; or

(*j*) in undertaking or financing whether alone or jointly with any other person—

(i) the erection of a new building or the improvement or extension of an existing building; or

(ii) building operations or other development;

on land belonging to the Corporation or to any other person or on land which is, or will be, held jointly by the Corporation and any other person; or

(*k*) upon the security of freehold or leasehold ground rents, land charges or rentcharges;

with power of varying such investments from time to time by sale and reinvestment or otherwise:

Provided that the investment of such moneys as aforesaid in any investment of the nature specified in paragraph (*g*) of this subsection shall be subject to the qualification that no investment shall be made at any time when the value of all the investments made under the said paragraph (*g*) which form part of the superannuation fund equals or exceeds three-quarters of the total value of the assets of that fund.

(2) For the purposes of subsection (1) of this section the value of any investment of moneys forming part of the superannuation fund shall be treated as being the value of the investment at the time at which it was made.

(3) In this section—

"recognised stock exchange" in its application to the United Kingdom means any body of persons which is for the time being a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1958 or the Belfast Stock Exchange; 1958 c. 45.

Sch. —*cont.*

"recognised security market" in its application to stock or shares not registered in the United Kingdom means a stock exchange, an association of stock and share dealers or an over-the-counter market recognised as a market or association in which dealings in the country concerned normally take place;

"quoted on a recognised security market" in its application to stock or shares not registered in the United Kingdom means that the stock or share has been granted an official quotation or is listed on a recognised security market or that dealing prices on such a market in respect of that stock or share are published not less frequently than once a week;

"securities" includes shares, debentures, treasury bills and tax reserve certificates.

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CHAPTER xxx

ARRANGEMENT OF SECTIONS